

	Retained earnings 1 January 2025	Income fiscal 2025	Balance sheet 31 December 2025	Income fiscal 2026	Balance sheet 31 December 2026
Item missed at the end of 2024	Adjusted	Reverses	No effect	No effect	No effect
Item missed at the end of 2025	No effect	Adjusted	Adjusted	Reverses	No effect
Item missed at the end of 2026	No effect	No effect	No effect	Adjusted	Adjusted

Each missed item reverses in the next year. An error that recurs every year can leave income nearly right while the balance sheet stays wrong.

Correction of an error

The facts existed at the year-end and were missed or misapplied. The correction goes to the period in which they existed: the prior year's figures are restated, and an earlier error enters opening retained earnings.

Change in estimate

The year-end estimate was reasonable on the facts then available. A later difference goes to the period in which it becomes known, and to later periods if they are affected. Nothing is restated.